



FUNDAMENTAL VS TECHNICAL ANALYSIS

WHAT'S THE DIFFERENCE?

When approaching the markets, fundamental and technical analysis are two primary schools of thought at opposite ends of the spectrum. Both methods are used by investors and traders to investigate and forecast future stock values. While technical analysis examines a security's price movement to forecast future price fluctuations, fundamental analysis looks at the economic and financial factors that drive a business. Fundamental

FUNDAMENTAL ANALYSIS

Fundamental analysis is a method of measuring a security's intrinsic value by examining related economic and financial factors. Analysts study anything that can affect the security's worth, from macroeconomic factors such as the state of the economy and industry conditions to microeconomic factors like the effectiveness of the company's management. The goal is to determine a number that an investor can compare with a security's current price to see whether it is undervalued or overvalued.

In simpler terms, it helps an investor understand which stock to buy. Technical Analysis

TECHNICAL ANALYSIS

Technical analysis is a trading discipline used to evaluate investments and identify trading opportunities by analyzing statistical trends from trading activity, such as price movement and volume. Unlike fundamental analysis, which attempts to assess a security's value based on business results such as sales and earnings, technical analysis focuses on the study of price and volume.

In simpler terms, it helps to understand when to buy the stock.



[Link to video](#)





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EXAMPLE

- **Fundamental Analysis:** Sarah starts by examining TechGiant's financial statements, looking at their revenue, profit margins, debt levels, and management efficiency. She also considers the overall tech industry's growth prospects and the economy's state. After her analysis, she concludes that TechGiant's intrinsic value is higher than its current market price, indicating that the stock is undervalued and a good buy.
- **Technical Analysis:** To decide the best time to buy TechGiant's stock, Sarah turns to technical analysis. She examines charts showing the stock's historical price movements and trading volumes. She identifies patterns and trends that suggest the stock is currently in a dip but shows signs of an upward trend soon. Based on this analysis, she determines that now is a strategic time to purchase TechGiant's shares. By combining

By combining both fundamental and technical analyses, Sarah not only identifies a potentially profitable stock but also pinpoints an optimal time to make her investment.

